04

DEBT

Compound interest in reverse. The same force that builds wealth on one side destroys it on the other. By Sunday you'll know exactly how much it's costing you and have made one specific call.

01 READ THIS FIRST

The 8th wonder. Wrong direction.

If you're carrying credit card debt, every month a stranger named Chase or Amex is paid first. Before tzedakah. Before retirement. Before your kids. Before you.

Most people don't know how much. They feel anxious about it without ever doing the math. This class forces the math, then gives you the exact phone call to make tomorrow morning.

WHAT THIS CLASS IS NOT

Not a guilt trip. Not a debate about whether credit cards are inherently wrong. Not a generic "pay it down" pep talk. This is the page that ends with you knowing your number, your APR, your payoff timeline, and the script for the call to your card company.

If you have no credit card debt, this class is still required. The traps below are why people end up in debt. Knowing them is your insurance.

02 THE MIRROR

Total it. Right now.

WRITE THE NUMBERS FROM YOUR OWN LIFE

Open every credit card statement, every personal loan, every store financing, every "buy now pay later" balance. List each. Estimating doesn't count. The number will be uncomfortable. That's the point.

1. Total credit card debt across all cards	**$ _____**
2. Highest APR among them (look at last statement)	**____ %**
3. Total minimum payments per month, all cards combined	**$ _____**
4. Of that monthly minimum, how much is interest only? (Total ÷ 12 × APR)	**$ _____**
5. Time to pay off at minimums (use online calculator). Years.	**____ years**

If row 4 is more than $50/month, you're working part of every Tuesday for Chase. If row 5 is more than 10 years, the minimum payment is a treadmill, not a payment plan. The mechanism below explains why, then we make the call.

03 WHY MINIMUMS DON'T WORK

The bank designed it.

On a $20,000 balance at 22% APR, the minimum payment is around $400/month. Of that $400, about $367 is interest. About $33 actually pays down the balance.

At that rate it takes 30+ years to clear the debt and you'll pay over $40,000 in interest along the way. The bank designed it that way. The minimum is calibrated to keep you paying forever.

MINIMUM

WHAT THE BANK WANTS

MONTHLY PAYMENT
$400

TIME TO CLEAR
30+ yrs

TOTAL INTEREST
$40,000+

FUTURE WEALTH LOST
$345,000

ATTACK

WHAT CLEARS IT FAST

MONTHLY PAYMENT
$700

TIME TO CLEAR
3 yrs

TOTAL INTEREST
$6,800

FUTURE WEALTH LOST
$0

> **Compound interest is the 8th wonder of the world. Einstein said it. He was warning you about credit cards.**

04 THE RULE THAT ENDS THE CYCLE

The rule.

THE 3-YEAR RULE

If your credit card debt can't be cleared in 36 months at your current attack rate, you're not paying it off, you're feeding it. Either raise the attack rate, or call Kosher Debt Help this week.

What to do, in order

1. Stop adding to it. Cut up the cards or freeze them. Don't close the accounts (hurts credit score) but stop using them today.

2. Call each card company and ask for an APR reduction. Script: "I'm a long-time customer reviewing my finances. Can you reduce my APR by 3-5 points? I'll consider transferring the balance otherwise." Works about 30% of the time, free money when it does.

3. Snowball: pay extra on the smallest balance while paying minimums on the rest. When it's gone, roll that payment into the next-smallest. Momentum is the secret. Mathematically the avalanche (highest APR first) is faster, but most people lose motivation. Do snowball if you've quit before.

4. If the math doesn't work even at full attack rate, call Kosher Debt Help. **kosherdebthelp.org.** They've helped 350+ frum families clear over $1M. First call is free, no judgment, no sales.

05 WHERE THIS FAILS

The cycle restarts.

Most people who pay off credit card debt are back in debt within 18 months. The traps that put them there the first time are still there. Here's what to watch for.

TRAP 1 / THE POINTS JUSTIFICATION

After paying it off, you'll think "I'll keep using it for the points." **You won't be more disciplined the second time.** Statistics: only ~5% of people use rewards cards profitably. If you carried a balance once, you're not in the 5%. Use a debit card.

TRAP 2 / THE NEXT EMERGENCY, NO FUND

Most credit card debt starts with one event: car breakdown, medical bill, dental work, appliance dies. Without a $3K emergency fund, the next event puts the cards back into use. **Build the fund BEFORE you finish paying off the cards.**

TRAP 3 / THE WEDDING/SIMCHA PRESSURE

Cousin gets engaged. Bar mitzvah comes up. Family pressure to spend. Cards come back out for "just this one." **That's exactly how it started last time.** The simcha sinking fund (Class 03) prevents this. If it's not built, the right answer is the smaller simcha, not the bigger debt.

TRAP 4 / THE 0% TRANSFER TRAP

Bank offers 0% balance transfer for 18 months. You think you'll pay it off in time. Most people don't, and on month 19 the rate jumps to 25%+ retroactively on the unpaid balance. **Only use 0% transfers if you have a written, dated payoff plan that finishes month 17.**

06 THE ACTION

BY FRIDAY THIS WEEK

Do this. Now.

Three calls, one plan. The calls are uncomfortable. That's why most people don't make them, and that's why most people stay in debt.

01 **List every debt by APR, balance, and minimum.** On paper or in a sheet. Sum the totals. Calculate exact interest paid per month using the formula in the mirror.

Most couples have never seen this list together. Tonight you do.

02 **Call each credit card company tomorrow morning.** Use the APR reduction script. Even one yes saves you thousands. Track the responses.

Total time: 30-45 minutes. Total potential savings: $500-3,000/year. Best ROI of your week.

03 **If 36-month payoff math doesn't work, call Kosher Debt Help.** kosherdebthelp.org. Schedule the intake call by Friday.

350+ frum families. Over $1M cleared. First call is free. Don't try to figure this out alone.

04 **Send your spouse the debt total and the plan.** Text: "Class 04 done. Total debt $X. Plan: [snowball / KDH / attack]. First call result: Y."

Hiding debt from your spouse is the #1 way debt gets worse. Daylight kills it faster than any rate reduction.

PROOF OF COMPLETION

Written debt list with APRs, log of card-company calls (yes/no on rate reduction), and either a 36-month payoff plan with monthly amount OR a confirmed KDH intake call. Text to spouse with total, plan, and call results.

07 THE CONVERSATION

Tonight. With your spouse.

RULES

30 minutes minimum. Phone away. Bring the debt list. Before any other question: if either of you has been hiding spending, debt, or financial decisions from the other, this is the moment to say it. No retaliation, no blame, no questions about the past beyond the facts. Hidden debt is the single biggest reason couples fail at this. Daylight kills it faster than any rate reduction.

01 Each of you: did you know the total debt before tonight? If different from what you knew, by how much?

Spouses often have very different numbers in their heads. Reconcile to the real one.

02 How did the debt actually start? Walk through the first 3 charges that became a carried balance. What were they?

Pattern recognition. The same trigger usually causes future debt.

03 If we cleared this debt 36 months from now, what does our family look like? Specific: house, savings, kids, peace.

Make this vivid. The vision pulls you through the hard months.

04 Which of the four traps are we most vulnerable to? (Points justification, no emergency fund, simcha pressure, 0% transfer trap.)

Pick one. Build a defense before the moment hits.

05 What's the ONE rule we're agreeing to right now to never repeat this cycle?

Pick one. Write it down. Sign it together.

SECTION TWO

Test.

10 questions. None of these can be answered from memory of the lesson. You'll need real numbers from your own life.

08 THE TEST

Test.

Each question requires real numbers, real names, or real decisions from your life. Do the work. Skipping defeats the point.

1. NUMBERS **Calculate the actual cost of your highest-APR debt: balance, APR, monthly minimum, time to payoff at minimums, total interest paid by the end. Use a real online calculator (bankrate.com), not a guess.**

2. NUMBERS **Same debt: at $300/month additional payment, what's the new payoff timeline and total interest? At $500/month? At $700/month? Show 3 scenarios.**

3. ACTION **Write the script you'll use tomorrow morning to call your card company asking for an APR reduction. Three sentences. What you say if they say no. Must be sayable verbatim.**

4. DECISION **Snowball (smallest balance first) or avalanche (highest APR first) — which does your psychology need? Be honest. Have you quit a payoff plan before? If yes, snowball.**

5. TRAP TEST **Six months from now, you've paid off $4,000 of $12,000. Cousin gets engaged. Wedding pressure to spend. What do you do? Specific decision and reasoning.**

08 THE TEST, CONTINUED

6. REAL LIFE — Find one person in your community who has cleared significant debt. Ask: how did you start, what was the hardest month, what would you tell someone starting today? Real first name, three specifics.

7. NUMBERS — Calculate: if you redirected your monthly minimum payments into investing instead, at 9% over 30 years, what would they grow to? That's the future cost of staying in debt. Show the math.

8. TRAP TEST — Bank offers 18-month 0% balance transfer. Your debt is $15K. Do you take it? What's your decision rule, and what specific monthly payment would make this safe?

9. ACTION — If your 36-month payoff math doesn't work, when (date and time) will you call Kosher Debt Help? If you've already called, write the date and 2 things you learned.

10. DECISION — What's the ONE rule you and your spouse are committing to so this never happens again? Write it as a single sentence. Both of you sign and date.

09 WHAT A STRONG ANSWER LOOKS LIKE

Reference.

These aren't right answers. They're examples of strong answers, written with real specificity. If yours are vaguer than these, redo them.

1. Strong: "Highest is Capital One: $14,200 balance, 24.99% APR, $355 minimum, payoff at minimums = 31 years, total interest paid = $26,400 (per bankrate calculator)." Weak: any approximation. Use a real calculator.

2. Strong example: same $14,200 at 24.99%. Adding $300/mo: 31 months to clear, $4,800 interest. Adding $500/mo: 21 months, $3,300. Adding $700/mo: 16 months, $2,600. The faster you attack, the less the bank earns.

3. Strong: "Hi, this is [name], I've had this card [X years]. I'm reviewing my finances and would like to request an APR reduction by 3-5 points. Is that something you can do today? [If no:] I understand. Could you transfer me to retention? [If still no:] Thank you, I'll consider transferring this balance." Sayable verbatim.

4. Strong: "I've quit two debt plans before. Snowball. The math says avalanche is $400 cheaper, but psychology says I'll quit avalanche again. I'd rather pay $400 more and finish than save $400 and stop." Honest answers only.

5. Strong: "I do not put it on a card. The simcha sinking fund either has $X or doesn't. If it has it, fine. If it doesn't, I attend with a smaller gift, or skip the wedding portion if it's a distant cousin. Going back into debt for one event is exactly how this started, and the next 18 months would erase every gain we made."

6. Real names, real lessons. "D.K. cleared $42K over 4 years on snowball. Hardest month was month 8 when the car needed $2K and they almost gave up. Said the spouse weekly check-in saved them." Vague answers fail.

7. Strong: "Monthly minimums total $580. At 9% over 30 years, $580/month invested instead becomes $1,058,000. The debt isn't costing you $26K, it's costing you over $1M of future wealth, plus the interest you actually pay."

8. Strong: "Yes if I have a written payoff plan finishing month 17 with a $900/month payment. The 0% only works as a payoff accelerator. If I'm using it to lower the monthly burden without a payoff date, I'm just moving the debt and the rate jumps back to 25% on month 19."

9. Strong: "Friday at 11am. I'll call kosherdebthelp.org or use the contact form. I'll have my debt list, monthly take-home, and current minimum payments ready." If already called: real lessons learned, not generic.

10. Strong: "We will not put any non-emergency expense on a credit card unless we can pay the full balance in the same billing cycle." Or: "Sinking funds will be funded BEFORE any discretionary spending each month." One sentence, signed.